To: Ritu Deshpande, Head of D2C Operations

From: Subham Ghosh

Subject: Returns Risk Intervention Strategy

The Decision We will not put automated "holds" on risky orders. A hold triggers a 12% cancellation rate, destroying revenue, and applying friction to Shield members will jeopardize our highest lifetime-value cohort. Instead, we will route high-risk, non-Shield orders to a **Pre-Dispatch Call Queue**. Shield members will be exempted from interventions to preserve their seamless experience.

The Number 11.2%. We do not need 95% accuracy to be profitable. A return costs us Rs 1,150. A pre-dispatch call costs Rs 45 and prevents 35% of returns. Therefore, a call pays for itself as long as the order has at least an 11.2% probability of being returned.

The Rupees For every 100 high-risk orders we call, we spend Rs 4,500 on outsourced calling. Based on pilot data, we will prevent roughly 35 returns, saving Rs 40,250. This yields a **Net Profit of Rs 35,750 per 100 high-risk orders** analyzed, without factoring in the saved revenue from avoiding the 12% cancellation rate of the "hold" strategy.

What you should do next week

1. Implement the provided API to score orders at the checkout stage.
2. Direct the IT team to route any non-Shield order scoring above 0.12 (12%) to the call center for a Rs 45 confirmation call before warehouse dispatch.
3. Dispatch Shield orders immediately, regardless of score.